

SPCX: Model Assumptions					
Change cell B4 (Scenario toggle) to switch all assumptions simultaneously: 1 = Bear 2 = Base 3 = Bull					
Scenario (1 = Bear, 2 = Base, 3 = Bull)	2	(Change Number to toggle between different scenario)			
Assumption	Bear	Base	Bull	Active	Rationale & Source
1 • Revenue Assumptions: Segment YoY Growth Rates (linear interpolation FY+1 to FY+5)					
Space: revenue growth, FY+1	0.0%	8.0%	15.0%	8.0%	FY25A revenue grew 7.6% YoY. Bear assumes Starship delays limit new commercial launches, Base assumes a gradual commercial ramp from H2 2026, and Bull assumes stronger demand supported by Starlink V3 missions and higher payload capacity.
Space: revenue growth, FY+5	5.0%	12.0%	20.0%	12.0%	Growth improves as Starship reusability lowers launch costs and supports a higher launch cadence. Bear assumes slower adoption, while Bull assumes SpaceX becomes the dominant commercial launch provider.
Connectivity: revenue growth, FY+1	20.0%	35.0%	45.0%	35.0%	FY25A revenue grew 49.8% YoY with approximately 10.3 million subscribers. Base assumes subscriber growth gradually slows as penetration increases, while Bear reflects competitive and regulatory pressures.
Connectivity: revenue growth, FY+5	8.0%	15.0%	22.0%	15.0%	Growth moderates as the LEO broadband market matures. Base assumes approximately 18–20 million subscribers by FY2030.
AI: revenue growth, FY+1	45.0%	70.0%	85.0%	70.0%	FY25A AI revenue was approximately \$3.2B. Base assumes continued enterprise AI demand, Bull reflects rapid scaling of large compute contracts, and Bear assumes slower customer adoption and execution delays.
AI: revenue growth, FY+5	12.0%	25.0%	35.0%	25.0%	Growth slows as the business matures but remains above traditional cloud providers. Bull assumes sustained enterprise AI demand, while Bear assumes weaker contract renewals and slower monetisation.
2 • Margin Assumptions: Segment Adj. EBITDA Margin (linear interpolation FY+1 to FY+5)					
Space: EBITDA margin, FY+1	8.0%	18.0%	24.0%	18.0%	Margins improve as Starship development costs decline and launch operations become more efficient through greater reusability.
Space: EBITDA margin, FY+5	14.0%	24.0%	30.0%	24.0%	
Connectivity: EBITDA margin, FY+1	58.0%	64.0%	66.0%	64.0%	Margins benefit from operating leverage as the subscriber base grows and higher-value service tiers are introduced.
Connectivity: EBITDA margin, FY+5	62.0%	68.0%	72.0%	68.0%	
AI: EBITDA margin, FY+1	-45.0%	-20.0%	-5.0%	-20.0%	Margins improve over time as GPU utilisation rises, inference costs decline, and enterprise AI contracts scale.
AI: EBITDA margin, FY+5	5.0%	28.0%	38.0%	28.0%	
3 • Capex Assumptions: Segment % of Segment Revenue (linear interpolation FY+1 to FY+5)					
Space: capex % of revenue, FY+1	100.0%	85.0%	70.0%	85.0%	High initial investment supports Starship production and launch infrastructure before gradually normalising as reusable systems mature.
Space: capex % of revenue, FY+5	55.0%	35.0%	20.0%	35.0%	
Connectivity: capex % of revenue, FY+1	42.0%	33.0%	25.0%	33.0%	Investment remains elevated during Starlink V3 deployment before declining as the constellation matures.
Connectivity: capex % of revenue, FY+5	24.0%	15.0%	10.0%	15.0%	
AI: capex % of revenue, FY+1	250.0%	200.0%	150.0%	200.0%	Near-term CapEx is intentionally high to support AI infrastructure build-out before normalising as utilisation improves.
AI: capex % of revenue, FY+5	60.0%	50.0%	28.0%	50.0%	
4 • PP&E Useful Lives: D&A Derived from PP&E Roll (not % of revenue)					
Space: average useful life (years)	15	18	22	18	Bear assumes faster wear from intensive operations, Base reflects current expectations, and Bull assumes better maintenance and refurbishment extend asset lives.
Connectivity: average useful life (years)	5	6	8	6	Bull assumes newer satellite generations remain operational for longer, while Bear assumes faster replacement cycles. S-1/A's own disclosed 3–5yr satellite range but here Bull assumes newer satellite might exceed that range.
AI: average useful life (years)	5	4	3	4	Bull intentionally assumes shorter economic lives because faster GPU refresh cycles increase technological obsolescence despite higher investment.
5 • Operating Assumptions: SBC, Working Capital, Tax, Bonus Depreciation					
SBC % of revenue (flat)	3.0%	2.5%	2.0%	2.5%	Modelled as a constant percentage of revenue using comparable technology companies due to limited disclosure.
Non-GAAP EBITDA haircut %	4.0%	2.0%	1.0%	2.0%	Applies a conservative adjustment for recurring items excluded from Adjusted EBITDA.
DSO (days, applied to revenue)	30	20	15	20	Based on a blended mix of consumer, enterprise, and government customers.
DIO (days, applied to revenue)	25	15	10	15	Assumes inventory efficiency improves as production scales.
DPO (days, applied to revenue)	35	45	55	45	Assumes supplier payment terms improve as purchasing power increases.
Tax rate (flat)	21.0%	21.0%	21.0%	21.0%	Uses the U.S. federal statutory corporate tax rate. Potential tax credits are excluded for conservatism.
Bonus depreciation % of capex (OBBBA)	55.0%	70.0%	80.0%	70.0%	Assumes qualifying CapEx benefits from first-year bonus depreciation under current U.S. tax legislation.
Other current assets, % of revenue	5.0%	4.0%	3.0%	4.0%	Proxy for non-AR/inventory current assets. Not separately disclosed in S-1/A summary tables.

Other current liabilities, % of revenue	6.0%	5.0%	4.0%	5.0%	Proxy for non-AP current liabilities (deferred revenue, accrued expenses). Not separately disclosed.
6 · Interest, Debt & Cash					
Interest income rate on cash	3.5%	4.0%	4.3%	4.0%	Applied to the average cash balance using prevailing short-term interest rates.
Annual debt repayment % of balance	2.0%	5.0%	8.0%	5.0%	Assumes gradual repayment of outstanding borrowings.
Pre-tax cost of debt	7.0%	6.0%	5.5%	6.0%	Estimated using comparable technology and aerospace borrowers.
7 · WACC & Capital Structure					
Size premium	0.3%	0.0%	0.0%	0.0%	Near-zero given mega-cap status. Bear adds small execution-risk premium.
Risk-free rate (10-yr UST yield)	4.4%	4.4%	4.4%	4.4%	Based on the prevailing 10-year U.S. Treasury yield.
Equity risk premium (ERP)	5.5%	5.0%	4.6%	5.0%	Based on current market estimates with a higher premium in the Bear case.
Space segment beta	1.30	1.10	0.95	1.10	Estimated using comparable aerospace, satellite, and AI companies.
Connectivity segment beta	1.10	0.95	0.80	0.95	
AI segment beta	2.20	1.75	1.40	1.75	
Revenue-weighted blended beta	1.33	1.12	0.94	1.12	Calculated using each segment's contribution to total revenue.
Target debt weight D/(D+E)	5.0%	3.0%	2.0%	3.0%	Assumes SpaceX remains predominantly equity-financed following the IPO.
Cost of equity, Ke = Rf + Beta×ERP	12.0%	10.0%	8.7%	10.0%	Calculated using CAPM.
WACC	11.7%	9.8%	8.6%	9.8%	Calculated using the weighted average cost of equity and after-tax cost of debt.
8 · Terminal Value					
Terminal growth rate, g	2.00%	2.50%	2.90%	2.50%	Limited to a sustainable long-term growth rate below 3%.
Exit EV/EBITDA multiple (cross-check)	12.0	18.0	22.0	18.0	Used as a valuation cross-check rather than the primary terminal value method.
TV method (1 = GGM, 2 = Exit Multiple)		1		1	Change cell C59 to toggle between GGM & Exit Multiple Method
Mid-year discounting (1 = Yes)		1		1	Assumes cash flows are generated evenly throughout the year and discounts them using the mid-year convention.
9 · S-1/A Balance Sheet Inputs (Blue = hardcoded from filing, scenario-invariant)					
Opening debt, \$M (Mar-31-2026)	29,132	29,132	29,132	29,132	Outstanding debt reported in the S-1/A filing.
Cash, \$M, pre-IPO (Mar-31-2026)	15,852	15,852	15,852	15,852	Cash balance immediately before the IPO.
IPO net proceeds, \$M (Jun-12-2026)	74,400	74,400	74,400	74,400	Net proceeds expected from the IPO after underwriting fees.
Pro forma opening cash, \$M (post-IPO)	90,252	90,252	90,252	90,252	Opening cash adjusted for IPO proceeds.
Net debt/(net cash), \$M	-61,120	-61,120	-61,120	-61,120	Reflects the post-IPO cash position after debt adjustments.
Preferred stock remaining (Mar-31-2026), \$M	7,049	7,049	7,049	7,049	Outstanding preferred shares expected to convert at IPO.
Diluted shares post-IPO (M)	13,075.9	13,075.9	13,075.9	13,075.9	Fully diluted post-IPO share count used for per-share valuation.
Current share price, \$	\$157.54	\$157.54	\$157.54	\$157.54	Reference market price used to compare against the model's implied valuation.